

FIG

Figma is the design-native, browser-multiplayer category leader, the only name combining 95%-of-Fortune-500 reach, 40%+ growth re...

Street PT **\$30.80** **+6.9%**

Figma

www.figma.com

FIG

PUBLIC

DRAFT

Updated August 30, 2026 · 5 versions

- Collaborative Design Software
- Product Development / UI-UX
- Productivity SaaS
- Creative Tools

10 ANALYSTS · CONSENSUS VIEW		
+6.9% upside to the Street target at 10.7x EV/Rev (LTM)		
PRICE	MKT CAP	STREET PT
\$28.82	\$15.4B	\$30.80
EV / REV	CONSENSUS	VS QQQ
10.7x	Buy	-85pp 1Y
All trading data as of the 2026-08-28 US market close (yfinance; EV/Rev recomputed from last close × shares + net debt). Figures covering a different window are labeled individually.		
FORWARD P/E	EV/REV 52-WK BAND	SHORT INTEREST
81.0x	5.7x-28.5x	21.2%
consensus fwd EPS	price effect only; today's shares, net debt + LTM rev	% of float
NET CASH	DILUTED SHARES	SBC % OF REV
\$1.6B	527.5M	130.6%
cash – total debt	SEC 10-Q · Q ended 2026-06-30 · wtd-avg diluted, TSM as reported · ties to live count ±1.0%	LTM, the dilution drag

WHAT MATTERS

- KEY DEBATE

Do AI agents expand Figma's monetization surface, as management argues, or commoditize design work? The Q3 guide decelerates growth to ~36% from 48%, and the final lock-up tranche released ~77.7M Class A shares into an already de-rated tape.
- NEXT CATALYST

Q3 2026 results against the \$373-375M guide, and whether AI credit consumption keeps compounding after the first full quarter of monetization.

BULL · BASE · BEAR

Bear ~\$18 (-38%) Growth keeps decelerating past the guided 36%, AI-native design tools compress seat pricing, and post-lock-up insider supply meets a name	Base STREET \$30.80 (+6%) Street consensus (buy, 10 analysts): revenue lands near the raised \$1.463-1.467B FY2026 range, AI credits keep attaching, and the stock	Bull ~\$37 (+27%) MCP distribution into ChatGPT, Claude and Cursor turns the agent wave into a channel, AI credits scale into a genuine second revenue
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still running a GAAP operating loss with \$147.6M of quarterly SBC.

stabilizes well below its IPO-era valuation.

engine, and R&D intensity moderates back toward GAAP breakeven (analyst high end).

BUSINESS OVERVIEW

IN ONE SENTENCE

Figma is the browser-based collaborative design platform, like Google Docs for product design, where designers, developers, and whole teams build software interfaces together in real time. NYSE: FIG; ~\$1.2B LTM revenue growing ~46%, now trading well below its hyped July 2025 IPO.

PLAIN ENGLISH

What it does, who pays

- Figma is online software where teams design apps and websites together.
- Everyone edits the same file live in a browser, no installs, no emailing files around.
- Designers, engineers, and managers all work in one shared space.
- It now adds AI tools that turn a text prompt into a working design or prototype.

THE TECHNICAL VERSION

How it actually works

- Browser-native, real-time multiplayer canvas (a custom WebGL/WASM rendering engine).
- Seat-based SaaS across Professional/Organization/Enterprise tiers, billed per editor.
- Dev Mode hands off design specs and code to engineers; AI generation is monetized via consumable credits.
- Growth = more seats per org + multi-product attach, measured by 139% net dollar retention.

EXPLAINED SIMPLY

The analogy

- It's Google Docs, but for designing apps and websites.
- Many people draw on the same digital whiteboard at once, from any browser.
- Now you can also just describe what you want and AI sketches it for you.

KEY TERMS, DECODED

SaaS *Software-as-a-Service*

Software you rent through a browser on a subscription instead of buying and installing it.

NDR *Net Dollar Retention*

How much more (or less) an existing customer cohort spends a year later; 139% means the average customer grew spending 39% with no new logos.

Seat-based

Pricing charged per active editor/user, so revenue grows as more people in a company use the tool.

Dev Mode

Figma's developer view that turns a design into specs and code so engineers can build it accurately.

ARR *Annual Recurring Revenue*

The annualized value of a customer's subscription, Figma reports how many customers exceed \$10K and \$100K ARR.

SBC *Stock-Based Compensation*

Pay given as equity; a real expense that dents GAAP profit and dilutes shareholders, large at Figma right after the IPO.

Multiplayer

Multiple people editing the same file simultaneously in real time, like a shared online document.

- (NYSE: FIG) makes browser-native, multiplayer software for designing digital products.
- Its core product, Figma Design, lets designers, developers, product managers, and marketers collaborate live in the same file from any browser, the 'Google Docs for design' that disrupted desktop incumbents Adobe XD and Sketch.
- The platform has expanded well beyond design canvases into FigJam (online whiteboarding), Dev Mode (design-to-code handoff), Figma Slides (presentations), Figma Sites (web/app builder), Figma Draw, and a fast-growing AI layer, Figma Make (prompt-to-prototype, built on Anthropic's Claude) and Figma Weave (AI media creation, from the ~\$200M October 2025 Weavy acquisition). Co-founded in 2012 by CEO Dylan Field (a Thiel Fellow) and Evan Wallace, Figma is headquartered in San Francisco and serves 95% of the Fortune 500.
- Its defining pre-IPO event was the collapse of Adobe's \$20B acquisition, abandoned in December 2023 over EU/UK antitrust opposition (Adobe paid a \$1B reverse-termination fee). Figma IPO'd on the NYSE on July 31, 2025 at \$33/share, opening at \$85, halted past \$112, closing day one at \$115.50 (+250%), then de-rated severely to near \$20 by the 2026-06-10 close (~\$8.8B market cap) as lockups expired and the market repriced AI risk.

SOURCES: FORTUNE, FIGMA IPO S-1 TAKEAWAYS · CNBC, FIGMA STARTS TRADING ON NYSE · AXIOS, ADOBE AND FIGMA END \$20B DEAL

EXECUTIVE LEADERSHIP

CO-FOUNDER, CEO, PRESIDENT & CHAIR

Dylan Field

Co-founded Figma in 2012 with Evan Wallace; a Thiel Fellow who left Brown. Controls ~75% of voting power via Class B super-voting shares (including Wallace's voting proxy).

CHIEF FINANCIAL OFFICER

Praveer Melwani

Named CFO in June 2022; led Figma's financial operations through the IPO. Has publicly discussed managing AI inference costs via model routing and first-party models.

CHIEF TECHNOLOGY OFFICER

Kris Rasmussen

Leads Figma's technology strategy, engineering scale, platform reliability, and infrastructure.

CHIEF PRODUCT OFFICER

Yuhki Yamashita

Leads Figma's product organization across Design, FigJam, Dev Mode, Sites, Make, and the AI product suite.

PRODUCT & REVENUE MODEL

- Figma sells seat-based, tiered SaaS subscriptions across Professional, Organization, and Enterprise plans, billed per editor.
- Its land-and-expand engine starts with designers and spreads to developers (via Dev Mode) and non-designers (PMs, marketers, sales), roughly two-thirds of users are not professional designers, driving high net dollar retention (139% in Q1 FY2026, its highest in over two years). Growth comes from more seats per organization plus multi-product attach (FigJam, Slides, Sites, Make, Weave) and a newer AI-credit monetization model where customers consume credits for AI generation.
- Figma is highly profitable on a non-GAAP basis (16% non-GAAP operating margin and 27% FCF margin in Q1 FY2026) with a historically ~91% non-GAAP gross margin, though gross margin has compressed to ~82% as AI inference/compute costs scale with usage, the single most-watched line in the model.
- The customer base is broad and enterprise-anchored: ~690,000 paid customers, 15,218 with >\$10K ARR, and 1,525 with >\$100K ARR as of March 31, 2026, with 95% of the Fortune 500 on the platform.

SOURCES: FIGMA Q1 2026 RESULTS (SEC 8-K) · FORTUNE, FIGMA IPO S-1 TAKEAWAYS

RECENT NEWS

2026-08-19

Figma CEO Dylan Field defends growth outlook and AI positioning in post-earnings CNBC interview

SOURCE: [CNBC](#)

Field publicly addressed the AI-disruption overhang and the post-IPO de-rating, underscoring that management sees agents as expanding rather than eroding Figma's monetization surface.

2026-08-11

Figma extends MCP server coverage so Figma Design, Make, FigJam and Weave run inside ChatGPT, Claude and Cursor

SOURCE: [FIGMA](#)

Pushing Figma's canvas and design system into third-party AI clients turns the agent wave into a distribution channel rather than a substitution risk, the crux of the bull case.

2026-08-07

Final extended lock-up tranche releases roughly 77.7 million Class A shares

SOURCE: [SEC EDGAR \(FIGMA 8-K, EXTENDED LOCK-UP AGREEMENT\)](#)

The extended lock-up terminated on the second trading day after the June-quarter release, removing the last contractual constraint on insider and VC supply into an already de-rated tape.

2026-08-05	Figma stock falls as Q3 revenue guidance disappoints and two executives depart SOURCE: THE INFORMATION Shares dropped roughly 15% after hours as management guided September-quarter growth to decelerate to ~36% and disclosed the exits of CPO Yuhki Yamashita and CMO Sheila Vashee.
2026-08-05	CEO Dylan Field forfeits about \$46 million in stock awards after share decline SOURCE: BLOOMBERG A voluntary forfeiture with no replacement grant is an unusual founder-alignment signal aimed at investors worried about dilution, and it modestly relieves the SBC burden weighing on GAAP profitability.
2026-07-07	Figma acquires team behind a vibe-coding app (Bud), expanding platform from design into agentic coding and prototyping SOURCE: TECHCRUNCH Acquiring the Bud (Y Combinator-backed AI app/agent builder) team extends Figma's platform from collaborative design into agentic coding and rapid prototyping, reinforcing the AI-as-growth-catalyst thesis and reducing the perceived threat from AI coding tools by bringing them in-house.
2026-07-07	BofA resumes Figma coverage at Buy with \$30 price target, citing AI as structural growth catalyst for design-to-dev platform SOURCE: SEEKING ALPHA BofA (analyst Tal Liani) resumed coverage at Buy at 8× CY27 EV/Sales, arguing AI is a tailwind rather than a headwind for Figma's platform; shares rose ~6% on the reinstatement, signaling institutional re-rating momentum ahead of Figma's post-IPO growth phase.
2026-06-24	Figma adds code layers, animations, and AI features in new update SOURCE: TECHCRUNCH Figma deepened its design-to-code capabilities with code layer support, animation, and AI-powered plugin generation, strengthening its platform moat against Framer and Adobe in the design-to-dev handoff market.

FINANCIALS & KEY METRICS

Reporting period: Q2 2026 (ended June 30, 2026); reported 2026-08-05. Each metric is tagged with the period it covers; LTM and as-of figures are labeled individually.

REVENUE \$370.1M Q2 2026	
FREE CASH FLOW \$53.2M, 14% margin Q2 2026	NON GAAP GROSS MARGIN 85% Q2 2026

GAAP OPERATING LOSS

\$

117.3

Q2 2026

NON GAAP OPERATING INCOME

\$36.1M, 10% margin

Q2 2026

GAAP NET LOSS

\$

112.2

Q2 2026

NON GAAP EPS

\$0.08

Q2 2026

NET DOLLAR RETENTION

136%

AS OF JUNE 30, 2026

CUSTOMERS OVER 100K ARR

1,635

AS OF JUNE 30, 2026

RESEARCH AND DEVELOPMENT

\$167.3M

Q2 2026

SEGMENT DETAIL, BOOKINGS & GUIDANCE

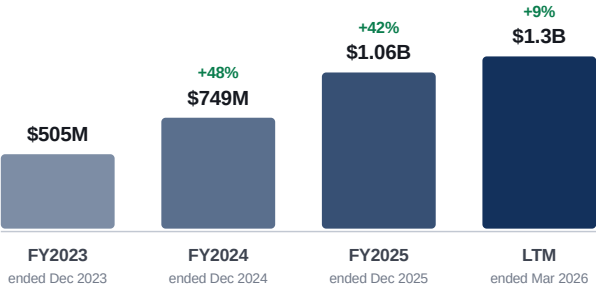
Guidance FY2026 GUIDANCE Revenue \$1.463-1.467B

- AI / Product:** Q2 was Figma's first full quarter of AI credit monetization and a third consecutive quarter of accelerating revenue growth. More than 80% of paid customers with over \$10K ARR were consuming AI credits weekly, and over 50% were using the Figma agent weekly as of July 31, 2026.
- Demand:** Demand broadened across both seats and AI consumption. Net dollar retention was 136%, paid customers above \$10K ARR grew 34% YoY to 15,964 and those above \$100K ARR grew 46% YoY to 1,635, indicating upmarket expansion is outpacing the base.

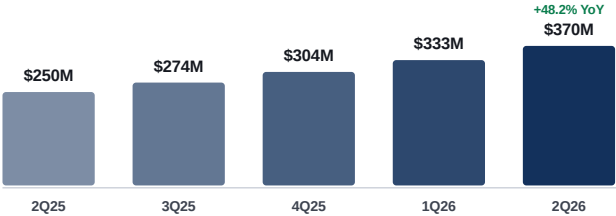
SOURCES: FIGMA INVESTOR RELATIONS, Q2 2026 FINANCIAL RESULTS ·
SEC EDGAR, FIGMA FORM 8-K (Q2 2026 RESULTS), FILED AUGUST 5, 2026 ·
SEC EDGAR, FIGMA FORM 10-Q FOR THE QUARTER ENDED JUNE 30, 2026

REVENUE TRAJECTORY

ANNUAL REVENUE (\$B)



QUARTERLY REVENUE (\$B)



SOURCES: SEC EDGAR (as reported, FY2025 10-K) · yfinance / Yahoo Finance

LAST 5 QUARTERS

	2Q25	3Q25	4Q25	1Q26	2Q26
REVENUE	\$250M	\$274M	\$304M	\$333M	\$370M
YOY					+48.2%
QOQ		+9.8%	+10.8%	+9.8%	+11.0%
GROSS MARGIN	88.8%	69.4%	82.1%	79.4%	83.7%

SOURCE: yfinance / Yahoo Finance (quarterly income statement) · calendar-quarter labels on fiscal period-ends; gross margin = gross profit / revenue. Most recent quarter (2Q26): 48.2% YoY revenue growth.

KEY RISKS & DEBATES

- ! AI disruption to design (the central debate): generative AI app-builders (Lovable, Vercel v0, Cursor, Google Stitch, Anthropic's Claude Design) could let non-designers ship interfaces without traditional design seats. The bull case is that AI expands the market and Figma monetizes it via credits; the bear case is seat compression, rival AI launches have repeatedly dinged the stock 5-10% in a day.
- ! AI inference cost / gross-margin compression: gross margin fell to ~82% in Q1 FY2026 from a historical ~91% as AI adoption deepens; management manages gross-profit dollars (not a margin target) but warns inference costs could keep pressuring margins as usage scales.
- ! Post-IPO valuation reset & lockup overhang: after a +250% day-one pop to ~\$115, the stock has de-rated to roughly \$20 (below the \$33 IPO price); staggered lockup releases through mid-2026 (an extended lockup covers ~54% of Class A shares) plus insider selling have weighed on the stock.
- ! Competition from incumbents and adjacents: Adobe (still dominant in creative and motivated after the failed deal) and Canva (mass-market, AI-forward) pressure Figma from the high and low ends, alongside a widening front of AI codegen tools.
- ! **Stock-based compensation & dilution:** a ~\$975.7M one-time IPO-related SBC charge drove a large GAAP loss; ongoing SBC keeps GAAP profitability negative and dilutes shareholders, a recurring bear talking point.
- ! **Founder control via dual-class structure:** CEO Dylan Field holds ~75% of voting power through super-voting Class B shares, concentrating control and limiting public-shareholder governance influence.

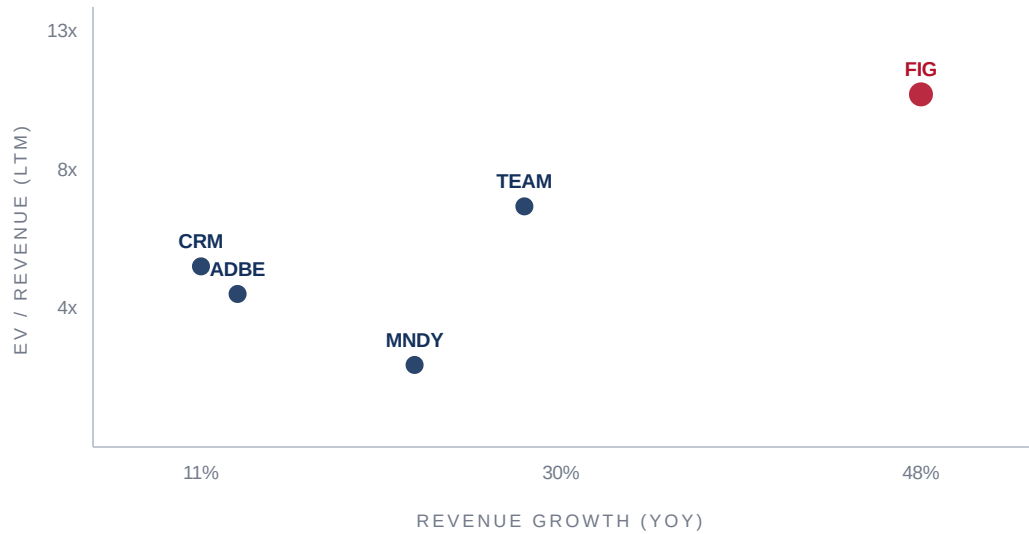
SOURCES: FORTUNE, DUAL-CLASS STRUCTURE / FIELD VOTING CONTROL · FIGMA Q1 2026 RESULTS (SEC 8-K)

COMPARABLE COMPANIES

COMPANY	TICKER	TYPE	MKT CAP	EV / REV LTM	REV GROWTH YoY	GROSS MARGIN	FCF MARGIN LTM	RULE OF 40 growth + FCF
Figma subject; design-native category leader re-accelerating to 46% growth with 139% NDR; trading at a live EV/Rev multiple below its IPO level on AI-disruption fears	FIG	Subject	\$15.4B	10.7x	48.2%	79.1%	67.7%	116

COMPANY	TICKER	TYPE	MKT CAP	EV /	REV	GROSS MARGIN	FCF	RULE OF 40 growth + FCF
				REV	GROWTH		MARGIN	
				LTM	YoY		LTM	
Atlassian								
closest collaboration-software comp by motion (bottoms-up, seat/usage-led expansion across software teams), but dev-workflow-centric rather than design-centric	TEAM		\$48.2B	7.3x	27.6%	85.6%	25.2%	53
Salesforce								
broad enterprise-SaaS benchmark for scaled, profitable software; far larger and slower-growing, framing Figma as a still-early, premium-growth name versus mature platform peers	CRM		\$210.7B	5.5x	10.8%	77.3%	40.4%	51
Adobe								
the incumbent Figma displaced and tried (and failed) to buy for \$20B; far larger and more profitable but slower-growing, Figma is the higher-growth, design-native challenger	ADBE		\$115.9B	4.7x	12.7%	89.4%	36.6%	49
monday.com								
another high-growth, seat-based collaboration-SaaS comp with strong NDR; a growth-and-margin yardstick, though work-management rather than the design layer	MNDY		\$4.3B	2.5x	21.9%	88.7%	20.8%	43
Peer median EX-SUBJECT				5.1x	17.3%	87.2%	30.9%	50

GROWTH VS MULTIPLE



SOURCES: Public-ticker multiples pulled live from [yfinance](#) / [Yahoo Finance](#), as of the 2026-08-28 market close; EV/Rev recomputed from last close × shares + net debt. Rev Growth (YoY), Gross Margin, and FCF Margin reflect each company's most recent reported quarter / LTM, so their as-of periods differ by company and from the price close above. Rule of 40 = revenue growth + FCF margin. **Figma trades at 10.7x vs a 5.1x peer median, a 111% premium to the median.**

SWOT ANALYSIS

How Figma stands out: Figma is the design-native, browser-multiplayer category leader, the only name combining 95%-of-Fortune-500 reach, 40%+ growth re-accelerating to 46%, 139% NDR, and a historically ~91% gross margin, now testing whether AI is the seat-killer bears fear or the new monetization engine the latest print suggests. It trades at a live EV/Rev multiple (see comps table) (2026-08-28 close), a premium to slower-growing Adobe (~4.7x) but well off its IPO valuation.

STRENGTHS

INTERNAL EDGE

- **Collaboration moat & network effects:** Browser-native multiplayer makes Figma the shared workspace for designers, developers, and non-designers; switching costs rise as whole orgs standardize on it (95% of the Fortune 500).
- **Best-in-class expansion:** 139% net dollar retention (Q1 FY2026, a two-year high) with the \$100K+ ARR cohort up 48% YoY, proof the land-and-expand engine compounds.
- **Premium unit economics:** A historically ~91% non-GAAP gross margin with 16% non-GAAP operating margin and 27% FCF margin, genuinely profitable on an adjusted basis, rare for a 40%+ grower.

WEAKNESSES

INTERNAL GAP

- **AI-driven gross-margin compression:** Gross margin fell to ~82% in Q1 FY2026 on AI inference costs; the higher-capability models customers want are expensive, and management won't commit to a margin floor.
- **Deep GAAP losses & SBC:** A ~\$975.7M one-time IPO stock-comp charge and ongoing SBC keep GAAP profitability negative and dilute holders.
- **Concentrated founder control:** Dual-class shares give CEO Dylan Field ~75% of votes, limiting public-shareholder governance leverage.

OPPORTUNITIES

EXTERNAL UPSIDE

- **AI monetization (credits):** Figma Make and Weave plus AI credits opened a new usage-based revenue line that helped re-accelerate growth to 46% and drove the FY2026 guidance raise.
- **Beyond designers:** Two-thirds of users aren't pro designers; Dev Mode, Slides, Sites, and Buzz expand seats into engineering, PM, and marketing across the org.
- **International runway:** International revenue grew 48% YoY in Q1 FY2026, a large under-penetrated base.

THREATS

EXTERNAL RISK

- **AI app-builders:** Lovable, Vercel v0, Cursor, Google Stitch, and Anthropic's Claude Design could compress design-seat demand; their launches have repeatedly dropped FIG 5-10% in a day.
- **Adobe & Canva:** A motivated Adobe and a mass-market, AI-forward Canva pressure Figma from the high and low ends of the design market.
- **Valuation / lockup overhang:** The post-IPO de-rating to ~\$20 (below the \$33 IPO price) plus staggered lockup releases through mid-2026 keep technical selling pressure on the shares.

SOURCES: FIGMA Q1 2026 RESULTS (SEC 8-K) · YFINANCE / YAHOO FINANCE, LIVE COMPS (2026-06-10 CLOSE)

PRIMARY FILINGS (SEC EDGAR)

10-Q	filed 2026-08-05 · period 2026-06-30	View on EDGAR >
8-K	filed 2026-08-05 · period 2026-08-05	View on EDGAR >
8-K	filed 2026-06-04 · period 2026-06-02	View on EDGAR >
10-Q	filed 2026-05-14 · period 2026-03-31	View on EDGAR >
10-K	filed 2026-02-18 · period 2025-12-31	View on EDGAR >

SOURCE: SEC EDGAR · CIK 0001579878 · primary filings of record.

SLIDE-READY BULLETS

- 1

Design-native category leader: Q1 FY2026 revenue re-accelerated to +46% (\$333.4M) with 139% net dollar retention (a two-year high) and 95% of the Fortune 500 on the platform.
- 2

The IPO arc is the story: priced at \$33 on July 31, 2025, popped +250% to \$115.50 day one (biggest 30-year first-day pop for a \$1B+ US IPO), then de-rated ~80%+ to ~\$20 (below the IPO price) as lockups expired and AI risk was repriced.
- 3

AI is now a net revenue tailwind, at a cost: Figma Make/Weave and AI credits helped re-accelerate growth and lift guidance, but non-GAAP gross margin slipped to ~82% (from ~91%) on inference costs, the most-watched line in the model.
- 4

Premium unit economics: a historically ~91% non-GAAP gross margin with 16% non-GAAP operating margin and 27% FCF margin, genuinely profitable on an adjusted basis for a 40%+ grower.
- 5

Key debate: do AI app-builders (Lovable, v0, Claude Design, Stitch) shrink design-seat demand, or does Figma capture it via credits? The stock trades at ~10.7x EV/Revenue (as of the 2026-08-28 close), a premium to Adobe on faster growth but far below its IPO mark.

SMART DILIGENCE QUESTIONS

Q1 Is AI net additive or dilutive to Figma's economics? How much of the 139% NDR and the guidance raise is AI-credit revenue versus core seat expansion, and what is the gross-margin trajectory as inference scales, does AI add high-margin dollars, or does it grind the ~91% historical gross margin toward the low 80s and below?

Q2 How real is the seat-compression threat? What evidence is there that AI app-builders (Lovable, v0, Claude Design, Stitch) are displacing Figma seats versus expanding the non-designer user base, and what is Figma's defensible role (system of record, collaboration, governance) once anyone can prompt a UI?

Q3 What does the post-lockup share supply and SBC trajectory mean for the stock? With ~54% of Class A under an extended lockup releasing through mid-2026, ongoing IPO-related SBC, and dual-class founder control, how much technical overhang and dilution should a buyer underwrite before the fundamentals are reflected in the price?

Sources: Company IR, earnings transcripts, Bloomberg, SEC filings, Sacra, Crunchbase, yfinance
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ATLAS